2026 EDITION

The Nonprofit Accounting Handbook

A Plain-English Guide to Bookkeeping, Financial Statements, and Compliance for U.S. Nonprofits

- Net assets & donor restrictions, explained simply
- Ready-to-use chart of accounts and journal entries
- Form 990, gift receipts, and grant compliance
- Month-end checklist, templates, and glossary

The Nonprofit Accounting Handbook

2026 Edition

Copyright © 2026 the publisher. All rights reserved. No part of this publication may be reproduced, distributed, or transmitted in any form without prior written permission of the publisher, except for the worksheets and templates in the appendices, which the purchaser may copy for use within their own organization.

Disclaimer. This handbook provides general educational information about accounting for U.S. tax-exempt organizations. It is not legal, tax, or accounting advice, and it does not create a professional relationship. Laws, IRS rules, dollar thresholds, and accounting standards change, and state requirements vary. Figures cited reflect the author's understanding as of late 2026. Before acting, confirm current requirements with the IRS, your state charity regulator, and a qualified CPA or attorney.

Contents

Contents 3

How to Use This Handbook 4

Why Nonprofit Accounting Is Different 5

Net Assets and Donor Restrictions 7

Building Your Chart of Accounts 10

Recording Revenue the Right Way 13

Tracking Expenses by Function 17

The Four Financial Statements 19

Budgeting and Cash Flow Management 22

Internal Controls for Small Teams 24

Grants Management and Federal Awards 26

IRS Compliance: Form 990, Receipts, and UBIT 28

The Monthly Close and Annual Calendar 31

Audits, Reviews, and Your Board 33

Templates and Worksheets 35

Quick-Reference Cheat Sheet 38

Glossary 39

Thank you for reading. 41

How to Use This Handbook

If you have ever opened your organization's books and wondered why "profit" is called "change in net assets," why a $50,000 grant can't simply be spent on rent, or what exactly goes on a Form 990, this handbook is for you.

It is written for the people who actually keep small and mid-sized nonprofits running: executive directors who wear the finance hat, board treasurers, bookkeepers coming from the for-profit world, and founders who want to get it right from day one. No accounting degree required. Where a technical term is unavoidable, it is defined in plain English, and every term is collected in the glossary at the back.

What you will be able to do

- Set up a chart of accounts built for nonprofits, not adapted from a retail template.
- Record donations, grants, pledges, in-kind gifts, and event income correctly.
- Track donor restrictions so you never accidentally spend restricted money.
- Split expenses into program, management & general, and fundraising.
- Read and produce the four core nonprofit financial statements.
- Build a budget, monitor cash, and present clear reports to your board.
- Meet IRS requirements: Form 990, donor acknowledgments, and unrelated business income.
- Run a reliable month-end close and prepare for an audit or review.

How the book is organized

Part	Chapters	Focus
Foundations	1–3	What makes nonprofit accounting different; net assets; chart of accounts
Day-to-day	4–5	Recording revenue and expenses the right way
Reporting	6–7	Financial statements, budgets, and cash management
Protection	8–9	Internal controls and grant compliance
Compliance	10–12	IRS filings, the monthly close, audits, and the board
Toolkit	Appendices	Templates, checklists, cheat sheet, and glossary

Scope note

This handbook follows U.S. generally accepted accounting principles (GAAP) for not-for-profit entities, found in FASB Accounting Standards Codification Topic 958, and federal IRS rules for 501(c)(3) public charities. Private foundations, churches, government entities, and organizations outside the U.S. have additional or different rules.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 1

Why Nonprofit Accounting Is Different

A business keeps score with profit. A nonprofit keeps score with mission—and its books must prove that every dollar went where donors and the public were told it would.

Stewardship, not ownership

A for-profit company is owned by shareholders, and its accounting answers one central question: *how much did the owners earn?* A nonprofit has no owners. Its resources are held in trust for a public purpose, and its accounting answers different questions:

- **Did we use resources the way donors and grantors required?**
- **How much of our spending went to programs versus overhead and fundraising?**
- **Do we have enough liquid, unrestricted resources to keep operating?**

Because of this, nonprofit financial statements use different vocabulary and include information a business never reports.

The vocabulary shift

Business term	Nonprofit equivalent	Why it matters
Balance sheet	Statement of Financial Position	Same idea: assets, liabilities, and what's left over.
Income statement	Statement of Activities	Shows revenue and expenses, split by donor restriction.
Owners' equity	Net assets	No owners—the residual belongs to the mission.
Net income / profit	Change in net assets	A surplus isn't bad; it builds reserves.
Customers	Donors, grantors, members, clients	Many "customers" pay nothing; donors pay for others.
(not reported)	Statement of Functional Expenses	Shows program vs. support costs by type of expense.

Fund accounting in a nutshell

Historically, nonprofits kept separate sets of books—"funds"—for each pot of money: the building fund, the scholarship fund, the general fund. Modern GAAP simplified external reporting to two classes of net assets (Chapter 2), but the underlying idea survives. Internally, you will still want to **tag every transaction by its source and purpose** so you can prove how restricted money was used.

Most accounting software handles this with **classes**, **tags**, **locations**, or **dimensions**. QuickBooks Online uses Classes and Locations; Xero uses Tracking Categories; nonprofit-specific systems such as Aplos, Sage Intacct, or Financial Edge have true fund modules. The tool matters less than the discipline: *every*

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

restricted dollar in, and every dollar spent from it, carries the same tag.

Accrual vs. cash basis

Cash basis records revenue when money arrives and expenses when money leaves. It is simple and many very small organizations use it for day-to-day bookkeeping.

Accrual basis records revenue when it is earned or promised (for example, a signed multi-year pledge) and expenses when incurred, regardless of when cash moves. GAAP requires accrual, and most audits, many grantors, and the Form 990 (if your books are on accrual) expect it.

> **Practical recommendation**
>
> Keep the books on accrual if you receive pledges, multi-year grants, or government funding, or if you expect an audit. If you are very small and cash-based, convert to accrual at year-end with a handful of adjusting entries (receivables, payables, prepaid expenses, and deferred revenue) so your annual statements are meaningful.

The five principles that run through this book

1. **Respect the restriction.** Donor intent is legally binding. Track it from the moment a gift arrives.
2. **Classify by function.** Every expense serves programs, management, or fundraising.
3. **Separate duties.** No single person should control a transaction from start to finish.
4. **Close every month.** Small, regular reconciliations prevent large year-end surprises.
5. **Report for decisions.** Board reports should answer questions, not just list numbers.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 2

Net Assets and Donor Restrictions

The single most important concept in nonprofit accounting: some of your money comes with strings attached, and your books must show which.

The two classes of net assets

Under FASB Accounting Standards Update (ASU) 2016-14, nonprofit net assets are reported in just two classes:

Class	What it is	Examples
Without donor restrictions	Resources the board can use for any purpose consistent with the mission.	General donations, unrestricted grants, program fees, investment income (unless restricted), board-designated reserves.
With donor restrictions	Resources a donor or grantor limited by purpose, time, or both—including permanent endowments.	A gift "for the youth program," a pledge payable next year, a grant for a specific project, an endowment whose principal must be kept forever.

Board designations are NOT donor restrictions

If your board votes to set aside $100,000 as an operating reserve, that money is still **without donor restrictions**. The board imposed the limit, so the board can lift it. You may show it as a separate line ("board-designated") within net assets without donor restrictions, and you should disclose it, but never move it into the restricted column.

Types of donor restrictions

Purpose restrictions

The donor specifies *what* the money must be used for: "for scholarships," "for the new van," "for our literacy program." The restriction is satisfied when you incur qualifying expenses.

Time restrictions

The donor specifies *when* it can be used: "for your 2027 operations," or implicitly, a pledge receivable in a future year. The restriction expires when the time arrives (or, for pledges, generally when the cash is due).

Perpetual restrictions (endowments)

The donor requires that the original gift be maintained permanently, typically with investment returns available for spending. Most states have adopted the Uniform Prudent Management of Institutional Funds Act (UPMIFA), which governs how much of a donor-restricted endowment you may spend each year. Endowments call for professional advice and a written spending policy.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Releasing restrictions

When you meet a restriction, you don't move cash—you **reclassify net assets** from "with donor restrictions" to "without donor restrictions." On the Statement of Activities this appears as **Net assets released from restrictions**: a negative in the restricted column and an equal positive in the unrestricted column. Expenses themselves are always reported in the without-donor-restrictions column.

Example. In March, the Harbor Foundation gives you $30,000 restricted to the summer reading camp. In July, you spend $30,000 running the camp.

March — Receive restricted grant

Account	Debit	Credit
Cash — Operating	30,000	
Contributions — With Donor Restrictions		30,000

Tag: Fund = Summer Reading Camp

July — Pay camp expenses

Account	Debit	Credit
Program Expenses — Summer Camp (salaries, supplies, etc.)	30,000	
Cash — Operating		30,000

Recorded as an expense without donor restrictions, function = Program

July — Release the restriction

Account	Debit	Credit
Net Assets Released — With Donor Restrictions	30,000	
Net Assets Released — Without Donor Restrictions		30,000

Many organizations post this monthly or quarterly from a restricted-funds schedule.

> **Simplification you may elect**
>
> If a restricted contribution is received and spent in the **same reporting period**, GAAP permits you to report it directly as unrestricted, provided you apply the policy consistently and disclose it. Many small organizations elect this to cut down on release entries.

The restricted-funds tracker

Keep a simple schedule (a spreadsheet is fine) listing every open restriction. Reconcile its total to the "with donor restrictions" net assets balance on your books every month.

Donor / Grant	Restriction	Beg. balance	Received	Released	End balance
Harbor Foundation	Summer camp 2026	0	30,000	(30,000)	0
Smith Family	Van purchase	12,000	8,000	(20,000)	0

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Donor / Grant	Restriction	Beg. balance	Received	Released	End balance
City Arts Council	FY27 operations (time)	0	15,000	0	15,000
Lee Endowment	Perpetual — principal	100,000	0	0	100,000
Total		**112,000**	**53,000**	**(50,000)**	**115,000**

Total ending balance must equal net assets with donor restrictions on your Statement of Financial Position. If it doesn't, something was coded to the wrong column.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 3

Building Your Chart of Accounts

A good chart of accounts makes every later step easier. A bad one quietly sabotages your reports for years.

Design principles

- **Use a numbering scheme.** Numbers keep accounts in statement order and make room for growth.
- **Mirror the Form 990.** If your expense accounts line up with Form 990 Part IX, year-end tax prep becomes a mapping exercise rather than a research project.
- **Keep it lean.** Use classes/tags for programs, funds, and grants—*not* separate accounts for every program. Fifty to a hundred accounts is plenty for most small organizations.
- **Separate restricted revenue.** Have distinct revenue accounts (or a restriction tag) for contributions with and without donor restrictions.

Recommended numbering structure

Range	Category	Notes
1000–1999	Assets	Cash, receivables, pledges, prepaid, investments, fixed assets
2000–2999	Liabilities	Payables, accrued payroll, deferred revenue, loans
3000–3999	Net assets	Without donor restrictions; with donor restrictions
4000–4999	Revenue & support	Contributions, grants, program fees, events, investments
5000–5999	Personnel expenses	Salaries, payroll taxes, benefits
6000–6999	Non-personnel expenses	Occupancy, professional fees, supplies, travel, etc.
7000–7999	Other / non-operating	Gains/losses, depreciation (if kept separate)

Sample chart of accounts

Adapt this starter chart to your organization. It is intentionally compact; add accounts only when a report or the Form 990 needs the detail.

#	Account name	#	Account name
1000	Cash — Operating Checking	4000	Contributions — Individuals
1010	Cash — Savings / Reserve	4010	Contributions — Corporate
1050	Petty Cash	4020	Foundation Grants
1100	Accounts Receivable	4030	Contributions — With Donor Restrictions

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

#	Account name	#	Account name
1150	Grants Receivable	4100	Government Grants (cost-reimbursement)
1200	Pledges Receivable	4200	Contributed Nonfinancial Assets (In-Kind)
1210	Allowance for Uncollectible Pledges	4300	Special Events — Gross Receipts
1220	Discount on Long-Term Pledges	4310	Special Events — Direct Benefit to Donors (contra)
1300	Prepaid Expenses	4400	Program Service Fees
1400	Investments	4500	Membership Dues
1500	Furniture & Equipment	4600	Investment Income
1510	Vehicles	4900	Net Assets Released from Restrictions
1590	Accumulated Depreciation	5000	Salaries & Wages
2000	Accounts Payable	5100	Payroll Taxes
2100	Accrued Payroll & Vacation	5200	Employee Benefits
2150	Payroll Liabilities	6000	Professional Fees — Accounting/Legal
2200	Deferred Revenue	6050	Contract Services
2300	Refundable Advances (conditional grants)	6100	Rent & Occupancy
2500	Notes / Loans Payable	6200	Office Supplies & Expenses
3000	Net Assets Without Donor Restrictions	6300	Technology & Software
3010	Board-Designated Net Assets	6400	Travel & Conferences
3100	Net Assets With Donor Restrictions — Purpose/Time	6500	Insurance
3200	Net Assets With Donor Restrictions — Perpetual	6600	Program Supplies & Direct Costs
		6700	Advertising & Promotion
		6800	Bank & Merchant Fees
		6900	Depreciation

Tags (classes) to set up alongside the chart

Dimension	Purpose	Example values
Function	Program vs. support split for the Statement of Functional Expenses	Program A, Program B, Management & General, Fundraising
Fund / Restriction	Track restricted money	Unrestricted, Harbor Fdn — Camp, Van Fund
Grant	Report to individual grantors	DOE-2026-114, United Way FY27
Location (optional)	Multi-site organizations	Main St. Center, Eastside Clinic

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Common mistake

Creating separate expense accounts like "Salaries — Youth Program" and "Salaries — Admin." This multiplies your chart and makes Form 990 mapping harder. Use one "Salaries" account and tag the function instead.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 4

Recording Revenue the Right Way

Nonprofit revenue comes in many forms—gifts, grants, fees, events, and donated goods—and each follows its own rules.

Step one: contribution or exchange?

ASU 2018-08 gives a framework that settles most revenue questions. Ask: **Does the resource provider receive something of commensurate value in return?**

	Contribution	Exchange transaction
Definition	Voluntary, nonreciprocal transfer. The giver gets nothing of equal value back.	Each party gives and receives roughly equal value.
Examples	Donations, most foundation grants, most government grants to further your mission	Program fees, tuition, contracts where the payer gets the service, ticket sales (the fair-value portion)
Accounting guidance	ASC 958-605 (nonprofit contribution rules)	ASC 606 (revenue from contracts with customers)
Recognized when	Received or unconditionally promised	Performance obligations are satisfied

Note that a grant from a government agency is often still a **contribution**: the public benefits, not the agency itself. It becomes an exchange only if the grantor receives commensurate value (for example, a contract to provide services directly to the agency).

Step two: conditional or unconditional?

A contribution is **conditional** only if the agreement contains **both** (1) a barrier the organization must overcome and (2) a right of return of assets or a right of release from the promise. Common barriers include measurable performance targets ("serve 500 students"), matching requirements, and cost-reimbursement terms that limit spending to allowable costs.

- **Unconditional:** recognize revenue now (in the restricted column if it carries a purpose or time restriction).
- **Conditional:** do *not* recognize revenue until the barrier is met. Cash received early is a liability (refundable advance).

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Cost-reimbursement government grant: $100,000 awarded, $40,000 of allowable costs incurred and billed

Account	Debit	Credit
Grants Receivable	40,000	
Government Grants		40,000

The remaining $60,000 is disclosed as a conditional promise, not booked as revenue.

Individual donations

Record gifts at the date received (or the date of an unconditional pledge). Record the full gift amount as revenue and processing fees (credit card, PayPal, platform fees) as a separate expense—do not net them.

Online gift of $100, platform keeps $3.20 fee

Account	Debit	Credit
Cash — Operating	96.80	
Bank & Merchant Fees	3.20	
Contributions — Individuals		100.00

Pledges (promises to give)

An unconditional promise to give—written or verbal but verifiable—is recorded as revenue and a receivable when made. Pledges payable in future periods are treated as time-restricted. Record an allowance for amounts you don't expect to collect, and discount pledges due beyond one year to present value.

Board member pledges $15,000 payable $5,000/year for three years

Account	Debit	Credit
Pledges Receivable	15,000	
Contributions — With Donor Restrictions (time)		15,000

Simplified; GAAP requires discounting the long-term portion to present value.

Contributed nonfinancial assets (in-kind gifts)

Donated goods, use of facilities, and certain services are revenue too. ASU 2020-07 requires them to be shown as a **separate line item** on the Statement of Activities, with disclosures about how each type was used and valued.

Type	Record it?	How to value
Goods (food, supplies, equipment)	Yes	Fair value at the date received
Use of facilities / rent-free space	Yes	Fair rental value
Professional services (CPA, attorney, IT)	Yes, if specialized skills you would otherwise buy	What you would have paid

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Type	Record it?	How to value
Services that create or enhance a nonfinancial asset	Yes	Fair value (e.g., volunteer carpenters building a shed)
General volunteer time	No (track hours for grant reports and your Form 990)	n/a

Local printer donates brochures worth $1,200 used for a fundraising mailing

Account	Debit	Credit
Advertising & Promotion (Function: Fundraising)	1,200	
Contributed Nonfinancial Assets		1,200

Special events

Gala tickets, auctions, and golf outings mix contribution and exchange. If a $150 dinner ticket includes a $60 meal, $60 is an exchange (the donor got value) and $90 is a contribution. On Form 990, Part VIII line 8 reports gross event income separately from the contribution portion, less direct expenses.

IRS rule: quid pro quo disclosures

When a donor pays **more than $75** and receives goods or services in return, you must provide a written statement telling them the deductible amount is limited to what they paid minus the fair market value of what they received, and give a good-faith estimate of that value. Penalties apply for failure. Put this language on tickets and receipts.

Earned revenue and deferred revenue

Program fees, tuition, and contracts follow ASC 606. If a family pays $1,200 in August for a September–December after-school program, record $1,200 as **deferred revenue** (a liability) and recognize $300 each month as the service is delivered.

Revenue recording quick-reference

Situation	Debit	Credit
Unrestricted cash gift	Cash	Contributions (without restrictions)
Restricted gift	Cash	Contributions (with restrictions)
Unconditional pledge	Pledges Receivable	Contributions (with restrictions — time)
Conditional grant cash received before barrier met	Cash	Refundable Advance (liability)
Barrier met on conditional grant	Refundable Advance	Grant Revenue
Fee received in advance	Cash	Deferred Revenue

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Situation	Debit	Credit
In-kind goods used in program	Program expense / asset	Contributed Nonfinancial Assets

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 5

Tracking Expenses by Function

Donors, watchdogs, and the IRS all want to know the same thing: how much of your spending goes to the mission?

The three functional categories

Function	What belongs here	Examples
Program services	Activities that carry out your mission and deliver benefits to clients, members, or the public.	Teachers' salaries, food for a pantry, clinic supplies, program staff travel, outreach materials
Management & general	Oversight, governance, and business management that supports the whole organization.	Executive director's oversight time, accounting, audit, HR, board meetings, general insurance
Fundraising	Soliciting contributions, grants, and gifts.	Development staff, donor database, grant-writing time, appeal mailings, event costs not benefiting attendees

Membership-development costs may be a separate fourth category if significant. Note that the cost of goods sold and direct benefits to donors at events (such as meals) are not fundraising expenses; they are netted against related revenue or shown separately.

Allocating shared costs

Many costs serve more than one function: rent for an office used by program and admin staff, or an executive director who runs programs, oversees operations, and courts major donors. You need a **reasonable, consistent, documented** allocation method.

Cost	Common allocation basis
Salaries & benefits	Time records or periodic time studies (e.g., two representative weeks per quarter)
Rent, utilities, janitorial	Square footage used by each function
Technology & software	Headcount or number of users per function
Insurance	Headcount, payroll, or specific identification by policy
Depreciation	Location / use of the asset

Worked example: allocating rent by square footage

Area	Sq. ft.	% of total	Monthly rent share
Classrooms (Program)	2,400	60%	$3,000

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Area	Sq. ft.	% of total	Monthly rent share
Admin offices (M&G)	1,000	25%	$1,250
Development office (Fundraising)	600	15%	$750
Total	**4,000**	**100%**	**$5,000**

The "overhead myth" and why accuracy beats optics

It's tempting to code everything to programs so your program ratio looks great. Resist it. Under-reporting management costs is inaccurate, can be flagged in an audit, and feeds the harmful belief that good nonprofits have no overhead. Real organizations need accounting, technology, and leadership. Report honestly and explain your costs to donors.

Joint costs

When one activity combines fundraising with program or management purposes—say, a mailing that both educates readers about a health issue and asks for a donation—special rules (ASC 958-720) determine whether costs can be split. All three criteria must be met: **purpose** (a real call to action beyond giving), **audience** (chosen for reasons other than ability to give), and **content** (supports program goals). If any test fails, the entire cost is fundraising.

Functional expense reporting

ASU 2016-14 requires every nonprofit reporting under GAAP to present expenses by both **nature** (salaries, rent, supplies) and **function** (program, M&G, fundraising) in one location—on the face of the Statement of Activities, in a separate statement, or in the notes. Form 990 Part IX asks for the same matrix, so build it into your monthly process.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 6

The Four Financial Statements

Every complete set of nonprofit financial statements tells one story from four angles.

The examples below follow a fictional organization, **Brightpath Learning Center**, with about $700,000 in annual revenue.

1. Statement of Financial Position

A snapshot of what you own and owe at a point in time. Assets are typically listed in order of liquidity; net assets are split by restriction.

Brightpath Learning Center — June 30, 2026	Amount
Assets	
Cash and cash equivalents	$184,500
Grants and pledges receivable, net	62,000
Prepaid expenses	8,300
Investments	100,000
Property and equipment, net	46,200
Total assets	**$401,000**
Liabilities	
Accounts payable and accrued expenses	$28,400
Deferred revenue	21,600
Total liabilities	**50,000**
Net assets	
Without donor restrictions — undesignated	156,000
Without donor restrictions — board-designated reserve	80,000
With donor restrictions	115,000
Total net assets	**351,000**
Total liabilities and net assets	**$401,000**

2. Statement of Activities

Revenue, expenses, and the change in net assets for the period, shown in columns by restriction. Note the "released from restrictions" line moving money between columns.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Year ended June 30, 2026	Without donor restrictions	With donor restrictions	Total
Contributions	$212,000	$53,000	$265,000
Foundation & government grants	190,000	—	190,000
Contributed nonfinancial assets	18,000	—	18,000
Program service fees	168,000	—	168,000
Special events, net of $9,000 direct benefits	41,000	—	41,000
Investment income	6,000	—	6,000
Net assets released from restrictions	50,000	(50,000)	—
Total revenue and support	**685,000**	**3,000**	**688,000**
Program services	512,000		512,000
Management and general	92,000		92,000
Fundraising	61,000		61,000
Total expenses	**665,000**		**665,000**
Change in net assets	**20,000**	**3,000**	**23,000**
Net assets, beginning of year	216,000	112,000	328,000
Net assets, end of year	**$236,000**	**$115,000**	**$351,000**

Program ratio: 512,000 / 665,000 = **77%** of expenses went to programs.

3. Statement of Functional Expenses

A matrix of expenses by nature (rows) and function (columns). Abbreviated example:

Expense	Program	Mgmt & general	Fundraising	Total
Salaries and wages	$318,000	$52,000	$38,000	$408,000
Payroll taxes and benefits	64,000	10,000	8,000	82,000
Rent and occupancy	36,000	15,000	9,000	60,000
Program supplies	52,000	—	—	52,000
Professional fees	8,000	11,000	2,000	21,000
Technology	9,000	3,000	3,000	15,000
Other	25,000	1,000	1,000	27,000
Total	**$512,000**	**$92,000**	**$61,000**	**$665,000**

4. Statement of Cash Flows

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Explains how cash changed during the year, in three sections: **operating** (day-to-day activities), **investing** (buying or selling equipment and investments), and **financing** (loans, and contributions restricted to long-term purposes such as endowments or buildings). Most nonprofits use the indirect method, starting with the change in net assets and adjusting for non-cash items like depreciation and changes in receivables and payables.

Required liquidity disclosure

GAAP also requires a note describing how you manage liquidity and a quantitative table of financial assets available to meet general expenditures within one year. It's one of the most useful pieces of information you can give your board.

Financial assets available within one year	Amount
Cash and cash equivalents	$184,500
Receivables due within one year	57,000
Investments	100,000
Less: amounts with donor restrictions	(115,000)
Less: board-designated reserve	(80,000)
Available for general expenditure	**$146,500**

At annual expenses of $665,000 (about $55,400/month), Brightpath has roughly **2.6 months** of readily available operating cash.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 7

Budgeting and Cash Flow Management

A budget is the board's plan in numbers. Cash flow is what keeps the lights on while you carry it out.

Building the annual operating budget

1. **Start with programs.** List planned activities and their costs. Mission drives the budget, not the other way around.
2. **Estimate revenue conservatively.** Separate committed funds (signed grants, pledges) from probable and hopeful sources. Budget only what you can defend.
3. **Build personnel costs line by line.** Salaries, payroll taxes (roughly 8–10% of wages for employer FICA, unemployment, and workers' comp, varying by state), and benefits are usually 60–80% of spending.
4. **Add shared costs and allocate by function** using the same methods as your actuals (Chapter 5).
5. **Include a contingency and a contribution to reserves.** A balanced budget with zero margin leaves no room for surprises.
6. **Cash-flow the budget by month.** Revenue is lumpy (year-end giving, grant cycles); expenses are steady.
7. **Board approval.** The board formally adopts the budget, ideally before the fiscal year begins.

Budget vs. actual reporting

Each month, compare actual results to budget, year-to-date, with a short narrative explaining significant variances. Set a threshold—for example, any line off by more than 10% *and* $2,000—so the board focuses on what matters.

Line	YTD budget	YTD actual	Variance	%	Comment
Individual contributions	$120,000	$98,500	($21,500)	-18%	Spring appeal underperformed; year-end campaign planned
Foundation grants	95,000	110,000	15,000	16%	New Harbor Foundation award
Salaries	204,000	199,800	4,200	2%	Within range
Program supplies	26,000	31,200	(5,200)	-20%	Enrollment higher than planned; offset by fees

Cash flow forecasting

Keep a rolling 13-week or 12-month cash forecast: beginning cash, plus expected receipts, minus expected disbursements, equals ending cash. Update it monthly. Watch for:

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

- **Reimbursement lag.** Government grants often pay 30–90 days after you spend.
- **Seasonality.** Many organizations receive a large share of individual giving in November and December.
- **Payroll timing.** Months with three payrolls (for biweekly schedules) strain cash.
- **Restricted cash.** Cash in the bank is not all yours to spend—subtract restricted balances.

Operating reserves

An operating reserve is a board-designated pool of unrestricted net assets that cushions against shortfalls and lets you seize opportunities. Many advisors suggest a target of **three to six months** of operating expenses. Write a reserve policy covering the target, who can authorize use, and how the reserve will be replenished.

Key financial ratios to track

Ratio	Formula	What it tells you
Months of cash	Unrestricted cash ÷ average monthly expenses	How long you could operate with no new revenue
Program expense ratio	Program expenses ÷ total expenses	Share of spending going to mission delivery
Fundraising efficiency	Fundraising expenses ÷ contributions raised	Cost to raise $1
Current ratio	Current assets ÷ current liabilities	Ability to pay near-term bills (aim > 1.5)
Revenue concentration	Largest source ÷ total revenue	Dependence on any single funder
Operating margin	Change in unrestricted net assets ÷ unrestricted revenue	Whether operations are sustainable

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 8

Internal Controls for Small Teams

Fraud in nonprofits is usually not dramatic. It's a trusted person with too much access and too little review.

Why controls matter more for nonprofits

Small organizations are especially vulnerable: they tend to run on trust, have few staff, and lack the budget for a large finance team. Good controls protect your assets and your reputation—and they protect honest staff from suspicion.

Segregation of duties

The core idea: split each transaction among different people so no single person can **authorize**, **record**, and **have custody** of the same asset.

Process	Person A	Person B	Person C (often a board member)
Cash receipts	Opens mail, logs checks, endorses "for deposit only"	Records deposit in the books	Compares log to bank deposits monthly
Disbursements	Approves invoice (budget holder)	Enters bill, prepares payment	Signs/releases payment; second signer over a set limit
Payroll	Approves timesheets	Processes payroll	Reviews payroll register and headcount changes
Bank reconciliation	—	Prepares reconciliation	Reviews and signs; sees bank statement directly

If you have only one or two people

Perfect segregation may be impossible. Compensate with **board oversight**: have the treasurer receive bank statements directly (or have read-only online access), review monthly reconciliations, approve payments above a threshold, and review the payroll register.

Essential controls checklist

- ☐ Written financial policies approved by the board (signing authority, credit cards, reimbursements, reserves).
- ☐ Two signatures or dual approval for payments above a set dollar amount.
- ☐ Bank and credit card accounts reconciled monthly and reviewed by someone other than the preparer.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

- ☐ Donations deposited promptly (within a few business days); no cash kept on premises overnight beyond petty cash.
- ☐ Two people count cash at events; both sign the count sheet.
- ☐ Vendor master file changes (especially bank account changes) verified by phone using a known number.
- ☐ Company credit cards with individual limits; receipts and business purpose required for every charge.
- ☐ Payroll changes approved in writing; periodic headcount check against the payroll register.
- ☐ Accounting software user permissions limited to what each person needs; closed periods locked.
- ☐ Backups of financial data and multi-factor authentication on banking and accounting systems.
- ☐ Conflict of interest policy with annual disclosure statements from board and key staff.
- ☐ Whistleblower policy and document retention/destruction policy (both asked about on Form 990).

Red flags of fraud

- An employee who never takes vacation or resists sharing duties.
- Missing or altered bank statements; reconciliations always "in progress."
- New vendors with P.O. box addresses or no web presence.
- Unusual round-dollar payments or payments just under approval limits.
- Donors reporting that their gifts were not acknowledged.
- Lifestyle that doesn't match known income.

Business email compromise is the #1 modern threat

Criminals impersonate executives or vendors by email, requesting urgent wire transfers, gift card purchases, or changes to bank account details. Rule: **never change payment instructions based on email alone.** Call the vendor or executive at a number you already have on file.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 9

Grants Management and Federal Awards

Grants are a partnership with obligations. Tracking them well wins you the next grant.

The grant lifecycle

1. **Pre-award:** Build the budget with your finance lead, including indirect costs. Confirm you can meet match and reporting requirements.
2. **Award:** Read the agreement closely. Note restrictions, conditions, allowable costs, reporting dates, and whether it's a contribution or exchange (Chapter 4).
3. **Setup:** Create a grant tag/class in your software and a file with the agreement, budget, and reporting calendar.
4. **Spending:** Code every expense to the grant tag. Keep documentation that each cost is allowable.
5. **Reporting:** Reconcile grant expenses to the general ledger before each report is submitted.
6. **Closeout:** Submit final reports, return unspent funds if required, and retain records (often at least three years after the final report).

Federal awards and the Uniform Guidance

If you receive federal money—directly or passed through a state, county, or another nonprofit—you are subject to the Office of Management and Budget's **Uniform Guidance** (2 CFR Part 200). Key points under the 2024 revisions, effective for awards and fiscal years beginning on or after October 1, 2024:

Requirement	What to know
Single Audit	Required if you **spend $1,000,000 or more** in federal awards in a fiscal year (previously $750,000). Due within 30 days after the audit report or nine months after year-end, whichever is earlier.
De minimis indirect cost rate	Organizations without a negotiated rate may charge up to **15%** of modified total direct costs (previously 10%).
Equipment threshold	Items costing **$10,000 or more** per unit (previously $5,000) are equipment subject to tracking rules.
Written policies	Procurement, conflicts of interest, travel, financial management, and property management policies are required.
Time and effort	Salaries charged to federal awards must be supported by records that accurately reflect the work performed.
Cost principles	Only allowable, allocable, and reasonable costs may be charged. Alcohol, entertainment, lobbying, and fundraising are generally unallowable.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Check the date rules

Thresholds above apply under the 2024 Uniform Guidance revisions. Older awards may still be governed by previous terms. Confirm with your award documents and grants officer.

Indirect costs

Indirect costs (also called overhead or F&A) are shared costs that can't be easily tied to one project: accounting, HR, IT, general rent. Recover them by including an indirect rate in grant budgets—either your federally negotiated rate, the de minimis rate, or the rate a private funder allows. Many foundations now accept 15–25% or more; ask.

Grant tracking worksheet

Grant	Award	Period	Spent to date	Remaining	Next report	Match req.
Harbor Fdn — Camp	$30,000	1/26–12/26	$30,000	$0	1/15/27	None
State Ed. Dept.	$120,000	7/26–6/27	$38,400	$81,600	10/31/26	10%
United Way	$45,000	7/26–6/27	$11,250	$33,750	1/31/27	None

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 10

IRS Compliance: Form 990, Receipts, and UBIT

Tax-exempt doesn't mean exempt from filing. Staying in good standing takes a few predictable steps each year.

Which Form 990 do you file?

Form	Who files	Notes
990-N (e-Postcard)	Gross receipts normally $50,000 or less	Short online filing. Cannot be filed late via extension—just file it.
990-EZ	Gross receipts under $200,000 **and** total assets under $500,000	Short form; may file the full 990 instead if preferred. Filed electronically.
990	Gross receipts $200,000 or more, **or** total assets $500,000 or more	Full return with schedules. Public document posted online.
990-PF	Private foundations (regardless of size)	Different rules, including excise tax on investment income.

Churches and certain church-affiliated organizations are generally not required to file. Check the IRS instructions for other exceptions.

Deadlines and the three-year rule

- **Due date:** the 15th day of the 5th month after your fiscal year-end (May 15 for calendar-year organizations; November 15 for June 30 year-ends).
- **Extension:** File Form 8868 for an automatic six-month extension (not available for the 990-N).
- **Automatic revocation:** If you fail to file for **three consecutive years**, your tax-exempt status is automatically revoked. Reinstatement is possible but painful.
- **Public inspection:** You must provide copies of your three most recent 990s and your exemption application on request (or make them widely available online).

What the full Form 990 asks about

The Form 990 is as much a governance questionnaire as a tax return. Expect questions on:

- Mission, program accomplishments, and expenses for your three largest programs.
- Board independence, compensation of officers and key employees, and how compensation is set.
- Whether you have conflict of interest, whistleblower, and document retention policies.
- Whether the board reviewed the 990 before filing.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

- Revenue by source (Part VIII) and expenses by nature and function (Part IX).
- Schedule A (public support test), Schedule B (major contributors, generally $5,000+), and others as applicable.

> **Tip: share the draft with the board**
> Form 990 Part VI asks whether a copy was provided to the governing body before filing and to describe the process. Sending the draft to the full board, with time to ask questions, is good practice and a good look to donors who read your 990.

Public support test (Schedule A)

To remain a **public charity** rather than a private foundation, most 501(c)(3)s must show broad public support—generally that at least **33⅓%** of total support over a five-year period comes from the public (with a facts-and-circumstances test down to 10%). Large gifts from a single donor count only up to 2% of total support. Monitor this if you rely heavily on a few large donors.

Donor acknowledgments

Donors cannot deduct any single contribution of **$250 or more** without a contemporaneous written acknowledgment from you. It must include:

- ☐ Your organization's name.
- ☐ The amount of cash, or a description (but not the value) of non-cash property.
- ☐ A statement of whether you provided any goods or services in return.
- ☐ If so, a description and good-faith estimate of their value (or a statement that only intangible religious benefits were provided).

"Contemporaneous" means the donor receives it by the earlier of the date they file their return or its due date. Best practice: acknowledge every gift within 48 hours, and send an annual giving summary in January. A template is in Appendix A.

Non-cash gifts

- **Over $500:** the donor files Form 8283 with their return.
- **Over $5,000** (most property): the donor generally needs a qualified appraisal, and you sign Section B of their Form 8283.
- **If you sell or dispose of** property reported in Section B within three years, file **Form 8282** within 125 days.
- **Donated vehicles** over $500 have special rules and require Form 1098-C.
- Never put a value on a donor's non-cash gift in your acknowledgment; valuation is the donor's job.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Unrelated business income tax (UBIT)

Income from a **trade or business**, **regularly carried on**, that is **not substantially related** to your exempt purpose is taxable. Examples might include selling advertising in your newsletter or renting your parking lot to the public on weekdays.

Common exclusions: work done substantially by volunteers, sale of donated goods (thrift stores), activities for the convenience of members or clients, and most passive income (dividends, interest, royalties, and most real property rent not financed by debt).

If gross unrelated business income is **$1,000 or more**, file **Form 990-T**.

Payroll and contractor reporting

- Nonprofits withhold and pay income tax, Social Security, and Medicare like any employer. 501(c)(3)s are exempt from federal unemployment tax (FUTA), but state rules vary.
- Issue Form 1099-NEC to unincorporated contractors paid above the reporting threshold. The threshold was $600 for many years; recent federal legislation raised it to $2,000 for payments made after 2025. Confirm the current figure each year.
- Collect a Form W-9 from every vendor *before* the first payment.
- Classify workers carefully. Calling an employee a "contractor" exposes you to back taxes and penalties.

State compliance

Most states require charities to register before soliciting donations from residents, and many require an annual report, often with financial statements. Some require a CPA review or audit above revenue thresholds that vary widely by state. Online fundraising may trigger registration in multiple states. Check with your state attorney general or secretary of state and keep a compliance calendar.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 11

The Monthly Close and Annual Calendar

A consistent close turns bookkeeping from a scramble into a routine.

Month-end close checklist

Aim to close within 10–15 business days of month-end. Copy this checklist into your task manager and assign each step an owner.

Week 1: Capture everything

- ☐ Record all deposits, donations, and online giving payouts (match platform reports to bank deposits).
- ☐ Enter all bills received; record accrual for significant unbilled expenses.
- ☐ Record payroll and verify payroll liabilities match the payroll provider's reports.
- ☐ Code credit card transactions; collect missing receipts.
- ☐ Record in-kind gifts received during the month.

Week 2: Reconcile

- ☐ Reconcile every bank, savings, and credit card account to the statement.
- ☐ Reconcile donor database (CRM) totals to contribution revenue in the books.
- ☐ Reconcile grants and pledges receivable to the detail schedule.
- ☐ Reconcile the restricted-funds tracker to net assets with donor restrictions.
- ☐ Post net assets released from restrictions.
- ☐ Review accounts payable and receivable aging; follow up on old items.
- ☐ Record depreciation, prepaid expense amortization, and deferred revenue recognition.

Week 3: Review and report

- ☐ Review the trial balance for odd balances (negative cash, credit balances in expense accounts).
- ☐ Check that every expense has a function tag and grant expenses are coded to grants.
- ☐ Prepare statements: financial position, activities, budget vs. actual, cash forecast.
- ☐ Write a one-page narrative of key variances and issues.
- ☐ Lock the period in your accounting software.
- ☐ Send the package to the executive director and treasurer.

Annual compliance calendar

For a calendar-year (January–December) organization. Shift dates for other fiscal years.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

When	Task
January	Annual donor giving statements; W-2s to employees and Forms 1099-NEC to contractors (due January 31); Form W-3 and 1099 filings with IRS/SSA
January–February	Year-end close and adjusting entries; inventory of fixed assets
Feb–April	Audit or review fieldwork (if applicable); state registration renewals (dates vary)
Quarterly	Form 941 payroll tax returns (April 30, July 31, October 31, January 31)
May 15	Form 990 / 990-EZ / 990-N and 990-T due (or file Form 8868 for extension)
Spring	Board reviews draft 990 and audit report; annual conflict of interest disclosures
Summer	Mid-year budget re-forecast
September–October	Draft next year's budget; review insurance coverage
November 15	Extended Form 990 deadline
November–December	Board adopts budget; year-end giving campaign; ensure December gifts are dated correctly

Year-end gift dating

A check is considered delivered on the date it is mailed (postmark) if it clears in due course. Online and credit card gifts count on the date the charge is authorized. Keep postmarked envelopes for late-December checks.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

CHAPTER 12

Audits, Reviews, and Your Board

Independent assurance and strong board oversight are the two pillars of financial trust.

Audit, review, or compilation?

Service	What the CPA does	Assurance	Typical use
Compilation	Assembles statements from your records; no testing	None	Small organizations wanting professional-format statements
Review	Analytical procedures and inquiries	Limited	Mid-sized organizations; some state thresholds and funders
Audit	Tests transactions, controls, and balances; confirms with third parties	Reasonable (highest)	State thresholds, large funders, lenders, Single Audit

Audit requirements come from three places: your **state** (charity registration thresholds), your **funders** (grant agreements), and **federal law** (Single Audit at $1,000,000 in federal expenditures). Even if not required, an audit can open doors to larger grants.

Preparing for your first audit

- ☐ Ask the auditor for their "prepared by client" (PBC) list early.
- ☐ Close the year and reconcile every balance sheet account to supporting detail.
- ☐ Gather all grant agreements, pledge documentation, and gift acknowledgment records.
- ☐ Pull board minutes for the year, including budget approval and major decisions.
- ☐ Prepare fixed asset and depreciation schedules.
- ☐ Document your functional allocation methods.
- ☐ Assemble policies: financial, conflict of interest, whistleblower, document retention.
- ☐ Designate one point person to coordinate requests.

The board's financial responsibilities

Board members have a **fiduciary duty**—the duties of care, loyalty, and obedience. Financially, that means the board should:

- Approve the annual budget and monitor results against it at least quarterly.
- Adopt key financial policies and review them periodically.
- Ensure required filings (990, state registrations, payroll taxes) are made on time.
- Hire the auditor and meet with them directly, including without staff present.
- Set executive compensation using comparable data and document the process.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

- Protect the organization's reserves and long-term sustainability.

Payroll taxes: a personal-liability warning

Unpaid payroll withholding taxes can trigger the Trust Fund Recovery Penalty, which the IRS can assess **personally** against individuals responsible for paying them—including officers and, in some cases, board members. Never use withheld taxes to cover cash shortfalls.

The one-page board dashboard

Most board members are not accountants. Give them a single page they can understand in two minutes, with the full statements attached:

Metric	This month	Target / prior year	Status
Unrestricted cash (months of expenses)	2.6	3.0	Watch
YTD revenue vs. budget	96%	100%	Watch
YTD expenses vs. budget	94%	100%	On track
YTD change in unrestricted net assets	+$20,000	+$15,000	On track
Program expense ratio	77%	75%+	On track
Largest funder % of revenue	18%	< 25%	On track
Filings and payroll taxes current?	Yes	Yes	On track

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

APPENDIX A

Templates and Worksheets

Copy and adapt these for use within your organization.

A-1. Gift acknowledgment letter

[Organization letterhead]

[Date]

Dear [Donor name],

Thank you for your generous gift of **$[amount]** received on **[date]** to [Organization name]. Your support helps us [one sentence describing impact].

[Choose one] No goods or services were provided in exchange for this contribution. **— or —** In exchange for your contribution, you received [description], with an estimated fair market value of $[value]. The amount of your contribution that is deductible for federal income tax purposes is limited to the excess of your payment over this value.

[Organization name] is a tax-exempt organization under Section 501(c)(3) of the Internal Revenue Code. Our federal EIN is [XX-XXXXXXX]. Please keep this letter for your tax records.

With gratitude,

[Name], [Title]

For non-cash gifts, replace the amount with a description of the property, e.g., "a 2019 Dell laptop" and do **not** state its value.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

A-2. Bank reconciliation worksheet

Bank reconciliation — Account: _____ Month ending: _____	Amount
Balance per bank statement	_____
Add: deposits in transit (list)	_____
Less: outstanding checks (list)	(_____)
Add/less: bank errors	_____
Adjusted bank balance	_____
Balance per general ledger	_____
Add: interest earned not yet recorded	_____
Less: bank fees / NSF items not yet recorded	(_____)
Adjusted book balance	_____
Difference (must be zero)	_____
Prepared by / date: _____ Reviewed by / date: _____	

A-3. Annual operating budget template

Line item	Program A	Program B	M&G	Fundraising	Total
Revenue					
Individual contributions					
Foundation grants					
Government grants					
Program fees					
Special events (net)					
Other					
Total revenue					
Expenses					
Salaries					
Payroll taxes & benefits					
Rent & occupancy					
Program supplies					
Professional fees					
Technology					
Insurance					

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Line item	Program A	Program B	M&G	Fundraising	Total
Other					
Total expenses					
Surplus / (deficit)					

A-4. Time study log (for allocating salaries)

Employee: _____ Week of: _____	Mon	Tue	Wed	Thu	Fri	Total
Program A						
Program B						
Management & general						
Fundraising						
Total hours						
Employee signature: _____ Supervisor: _____						

A-5. Financial policies starter list

Board-approved written policies every nonprofit should have:

- ☐ Signing authority and approval limits
- ☐ Expense reimbursement and travel
- ☐ Credit card use
- ☐ Gift acceptance (what gifts you will and won't take, especially non-cash)
- ☐ Operating reserve
- ☐ Investment policy (if you hold investments)
- ☐ Conflict of interest, with annual disclosure form
- ☐ Whistleblower protection
- ☐ Document retention and destruction
- ☐ Executive compensation review process
- ☐ Procurement (required for federal awards)
- ☐ Capitalization threshold (e.g., items over $2,500 are recorded as fixed assets)

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

APPENDIX B

Quick-Reference Cheat Sheet

Topic	Rule of thumb
Net asset classes	Two: without donor restrictions, and with donor restrictions
Board-designated funds	Without donor restrictions (board can undo it)
Restriction met	Reclassify via "net assets released from restrictions"
Contribution vs. exchange	Did the payer get commensurate value? Yes = exchange (ASC 606)
Conditional contribution	Barrier + right of return/release = don't recognize until barrier met
Unconditional pledge	Record as revenue and receivable now; future years = time-restricted
In-kind gifts	Separate line item; services only if specialized or create an asset
Volunteer time (general)	Not recorded as revenue
Functional categories	Program, management & general, fundraising
Donor receipt required	Any single gift of $250+
Quid pro quo disclosure	Payment over $75 with goods/services received
Form 990-N	Gross receipts normally ≤ $50,000
Form 990-EZ	Gross receipts < $200,000 and total assets < $500,000
Form 990 due	15th day of 5th month after year-end; +6 months with Form 8868
Automatic revocation	Three consecutive years of not filing
Form 990-T	Gross unrelated business income of $1,000+
Single Audit	$1,000,000+ federal expenditures (FY beginning on/after 10/1/2024)
De minimis indirect rate	15% of modified total direct costs (2024 Uniform Guidance)
Public support test	Generally 33⅓% public support over five years
Operating reserve target	Commonly 3–6 months of operating expenses
Close cadence	Reconcile and close monthly within 10–15 business days

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

APPENDIX C

Glossary

Term	Definition
Accrual basis	Recording revenue when earned or promised and expenses when incurred, regardless of when cash changes hands.
ASC 958	The section of the FASB Accounting Standards Codification governing not-for-profit entities.
Board-designated net assets	Unrestricted net assets the board has set aside for a specific purpose, such as a reserve. The board may reverse the designation.
Chart of accounts	The organized list of every account used to record transactions.
Conditional contribution	A promise to give that includes a barrier the recipient must overcome and a right of return or release; not recorded as revenue until the barrier is met.
Contributed nonfinancial assets	Gifts other than cash or financial assets, such as goods, use of space, and qualifying services. Also called in-kind contributions.
Contribution	An unconditional, voluntary, nonreciprocal transfer of assets to an organization.
Deferred revenue	Payment received for goods or services not yet delivered; a liability until earned.
Exchange transaction	A reciprocal transaction in which each party receives commensurate value.
FASB	Financial Accounting Standards Board, which sets U.S. GAAP for private companies and nonprofits.
Fiduciary duty	The legal obligation of board members to act with care, loyalty, and obedience to the mission.
Form 990	The annual information return filed with the IRS by most tax-exempt organizations; publicly available.
Functional expenses	Expenses classified by purpose: program services, management and general, and fundraising.
GAAP	Generally accepted accounting principles.
Indirect costs	Shared costs not readily identified with a specific project or program. Also called overhead or F&A.
Joint costs	Costs of activities that combine fundraising with program or management functions.
Liquidity	The ability to meet cash needs for general expenditures over the coming year.
Net assets	Total assets minus total liabilities; the nonprofit equivalent of equity.
Net assets released from restrictions	The reclassification that occurs when a donor restriction is satisfied.
Pledge	A promise to give. If unconditional, it is recorded as revenue and a receivable.
Public charity	A 501(c)(3) organization that receives broad public support or has an exempt activity that qualifies it; contrasted with a private foundation.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Term	Definition
Quid pro quo contribution	A payment that is partly a gift and partly a purchase of goods or services.
Refundable advance	Cash received under a conditional agreement before the condition is met; recorded as a liability.
Single Audit	A federally required audit of an organization's financial statements and federal award compliance when federal expenditures exceed the threshold.
Statement of Activities	The nonprofit income statement, showing revenue, expenses, and change in net assets by restriction class.
Statement of Financial Position	The nonprofit balance sheet.
Uniform Guidance	Federal rules (2 CFR 200) governing administrative requirements, cost principles, and audits for federal awards.
UBIT	Unrelated business income tax: tax on income from a regularly carried-on trade or business not substantially related to the exempt purpose.
UPMIFA	Uniform Prudent Management of Institutional Funds Act; state law governing management and spending of endowment funds.

© 2026 The Nonprofit Accounting Handbook. For educational purposes only; not legal or tax advice.

Thank you for reading.

Good accounting is an act of respect—for your donors, for the people you serve, and for the staff and volunteers who give their time to your mission. Keep the books clean, keep the board informed, and keep the mission at the center of every number.

Next steps

1. Compare your chart of accounts to Chapter 3 and add function and restriction tags.
2. Build your restricted-funds tracker (Chapter 2) and reconcile it this month.
3. Adopt the month-end checklist (Chapter 11) and put the compliance calendar on everyone's calendar.
4. Share the board dashboard (Chapter 12) at your next board meeting.